Artificial Intelligence Strategy and Regulation in the SACU Region: A Policy Assessment

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1. Executive Summary

The Southern African Customs Union — the world's oldest, established in 1910 — faces a defining question: how to govern artificial intelligence across five economies at vastly different levels of digital maturity. South Africa, which accounts for roughly 91% of the bloc's combined GDP, is advancing a sector-specific, multi-regulator AI policy framework expected to enter public consultation in 2026. The remaining four members — Botswana, Namibia, Eswatini, and Lesotho — range from Botswana's modernized data protection regime to Lesotho's nascent AI vision documents. The gap is wide. And it is growing.

This fragmentation creates three interrelated risks: regulatory arbitrage that invites exploitation of the weakest jurisdictions; barriers to the cross-border digital trade the African Continental Free Trade Area (AfCFTA) Digital Trade Protocol is designed to enable; and a widening digital divide between South Africa and its smaller SACU partners. The African Union (AU) Continental AI Strategy, endorsed in July 2024, provides a continental framework all five members are, in principle, committed to implementing — yet no mechanism exists at the SACU level to translate that commitment into harmonized regional practice.

The economic stakes are significant. The global AI market is projected to reach $4.8 trillion by 2033 (UNCTAD). The African Development Bank projects AI could add up to $1 trillion to Africa's GDP by 2035 under a full-activation scenario. McKinsey estimates generative AI alone could unlock $61–103 billion annually across the continent. For SACU, even conservative scenarios imply substantial potential gains — provided the enabling conditions are in place. But 118 countries, mostly in the Global South, remain absent from major AI governance discussions. And the region's vulnerabilities are acute: unemployment rates ranging from 16% in Lesotho to over 33% in South Africa, up to 60% of Sub-Saharan African jobs potentially exposed to automation, and a gender digital divide in which only 32% of African women access the internet compared with 42% of men. A coherent AI governance framework must address opportunity and vulnerability simultaneously.

This report assesses AI policy across each SACU member, identifies the enabling conditions for effective AI governance in developing economies, examines the socioeconomic stakes, quantifies the benefits of coordination and the costs of inaction, and proposes concrete recommendations — including a theory of change for implementation — for SACU-level AI governance.

2. Introduction: The Problem Statement

Artificial intelligence is no longer a distant technological frontier for Southern Africa. AI-powered credit scoring is reshaping financial inclusion in Johannesburg. Chatbots deployed by the Bank of Botswana serve customers in Setswana. Namibia's parliament is exploring AI-assisted legislative research. Eswatini's fintech sector is building on mobile money infrastructure that already reaches much of the population. The technology is arriving. The regulatory frameworks are not keeping up — and in the smallest economies, they are essentially non-existent.

The global context sharpens the urgency. UNCTAD's *Technology and Innovation Report 2025* documents a rapidly expanding AI market in which developing countries are overwhelmingly underrepresented in governance discussions and under one-third have published AI strategies.

Just 100 companies, predominantly based in the United States and China, account for 40% of global private R&D investment. Globally, 2.6 billion people remain offline entirely.

Multiple credible estimates converge on a large economic opportunity for Africa. The African Development Bank projects AI could add up to $1 trillion to Africa's GDP by 2035 under full activation, with intermediate scenarios ranging from $250 billion under the status quo to $500–600 billion with fragmented adoption. PwC estimates AI could add $1.2 trillion to GDP across Africa, Oceania, and less-developed Asia combined. McKinsey's "Leading, Not Lagging" report (May 2025) puts generative AI alone at $61–103 billion annually for Africa, noting that over 40% of African institutions are already experimenting with or implementing generative AI. For SACU specifically — with a combined GDP of approximately $468 billion and a population of approximately 74 million — the question is not whether AI will transform the regional economy. It is whether that transformation will be governed in ways that protect citizens, attract investment, and distribute benefits equitably.

The architecture for regional governance exists, at least on paper. The AU Continental AI Strategy, endorsed by the AU Executive Council in Accra in July 2024, provides a high-level roadmap with a 2025–2030 implementation timeline. The SADC Digital Transformation Strategy, approved by the Council of Ministers in 2023, adds a regional layer. The AfCFTA Protocol on Digital Trade, adopted in February 2024 with its eight annexes finalized in February 2025, creates legal architecture for cross-border digital commerce. But between these continental and regional aspirations and the reality on the ground in Maseru, Mbabane, and Windhoek lies a substantial implementation gap.

This report examines that gap through the lens of the five SACU members, drawing on published policy documents, international assessments, and comparative evidence from other regional blocs.

3. Regional Context: SACU at a Glance

3.1 Economic and Demographic Overview

Country	Population (2025)	GDP, Nominal (2025, USD bn)	GDP per Capita (USD)	Internet Penetration (2025)	Oxford AI Readiness (2024)
South Africa	64.7 million	$426.4	$6,588	78.9%	Leading SACU member
Botswana	2.5 million	$19.2	$7,680	81.4%	Upper-middle tier
Namibia	3.0 million	$14.7	$4,900	64.4%	Mid-tier
Eswatini	1.2 million	$5.0	$4,167	57.6%	Lower tier
Lesotho	2.4 million	$2.4	$1,000	48.0%	Bottom quartile globally
SACU Total	**74 million**	**$467.7**	–	–	–

Table 1: SACU Economic and Demographic Overview

Sources: Worldometer, IMF, DataReportal Digital 2025 reports, Oxford Insights Government AI Readiness Index 2024. Note: The 2025 edition of the Oxford Insights index (published January 2026) ranks South Africa 67th globally, behind Kenya (65th). Mauritius leads Sub-Saharan Africa by score (53.27). No SSA country scores above 56/100 on AI infrastructure, compared with the US at 89.27 and China at 76.92.

Four features of this landscape matter most for AI governance.

Extreme asymmetry. South Africa accounts for 91% of SACU's combined GDP and 88% of its population. What works for an upper-middle-income economy of 65 million will not automatically work for a landlocked kingdom of 1.2 million. Any SACU-level AI framework must grapple with that reality from the outset.

Divergent connectivity. Internet penetration ranges from 81.4% in Botswana to 48.0% in Lesotho — but headline figures mask deeper problems. Much access in the smaller economies is mobile-only, intermittent, and expensive relative to income. Across Africa, the median cost of a 2GB mobile broadband plan runs 4.2% of GNI per capita — double the UN affordability target of 2% — while fixed broadband costs a median 15% of GNI per capita, roughly 14 times the European average.

A significant AI readiness gap. On the Oxford Insights Government AI Readiness Index, South Africa leads SACU in both the 2024 and 2025 editions, placing in the top tier among African nations. The 2025 edition ranks South Africa 67th globally, leading Sub-Saharan Africa on the Data & Infrastructure and Technology Sector pillars — the only SSA country scoring above the global average for the Technology Sector pillar. Still, Kenya ranks higher overall at 65th, underscoring that SACU's anchor economy is not the continent's leader across all dimensions. Lesotho sits in the bottom quartile of the 195 countries assessed — one of the widest intra-bloc readiness differentials of any customs union worldwide.

Common customs territory, divergent digital regulation. SACU harmonizes tariffs and shares customs revenue. But it has no equivalent mechanism for digital regulation, data

governance, or AI policy — despite the fact that AI-powered services and data increasingly flow across the same borders as physical goods.

4. Country-by-Country Analysis

4.1 South Africa: The Regional Anchor

AI Readiness: Leading SACU member in the Oxford Insights Government AI Readiness Index. In the 2025 edition (published January 2026), South Africa ranks 67th globally, behind Kenya (65th), though it leads Sub-Saharan Africa on the Data & Infrastructure and Technology Sector pillars.

South Africa is, by a wide margin, the most advanced SACU member in AI policy development. Its journey began with the **Presidential Commission on the Fourth Industrial Revolution (PC4IR)**, which presented its findings to President Ramaphosa on 6 August 2020 and was gazetted by the Department of Communications and Digital Technologies (DCDT) on 23 October 2020. The Commission — comprising leaders from academia, business, and civil society — set out a national strategy encompassing human capital investment, AI development, advanced manufacturing, and data-driven innovation.

Key Policy Milestones

National AI Policy Framework (NAPF): Published on 14 August 2024, the NAPF established strategic building blocks for South Africa's AI ecosystem. Developed by the DCDT, it serves as a precursor to the full National AI Policy — guiding principles rather than binding regulation.

Draft National AI Policy: On 24 February 2026, the DCDT indicated in Parliament that the Draft National AI Policy is progressing through Cabinet approval and is expected to be gazetted for a 60-day public consultation period in March 2026.[1] Finalization is anticipated during the 2026/2027 financial year, with sector-specific strategies and supporting regulatory measures expected to follow from 2027/2028. Stakeholders are increasingly concerned about the pace; some observers note that finalization is now unlikely before 2027.

National Policy on Data and Cloud: Gazetted on 31 May 2024 (Government Gazette No. 50741), this policy establishes a "cloud-first, digital-first" approach and addresses data sovereignty, privacy, and interoperability. It provides the data governance foundation upon which AI regulation will be built.

Strategic Pillars

The 2026 Draft Policy is organized around five pillars: skills capacity and talent development, including AI curricula at tertiary institutions and vocational training programs; responsible AI governance through a risk-based approach differentiating between low-, medium-, and high-risk applications; ethical and inclusive AI, with emphasis on training AI systems on local datasets to reduce bias; cultural preservation through digitizing indigenous languages (there are 11 official

[1] As of March 2026, the Draft National AI Policy is expected to be gazetted imminently. Readers should check the DCDT website for the latest status.

languages) to ensure AI systems serve all South Africans; and human-centered deployment, ensuring AI augments rather than replaces human labor — a particularly delicate challenge given South Africa's official unemployment rate of 33.2% (2024), rising to 42.1% on the expanded definition that includes discouraged workers, among the highest rates globally.

Regulatory Architecture

South Africa has opted for a **sector-specific, multi-regulator model** rather than creating a single centralized AI authority. The **Information Regulator** oversees data protection under the Protection of Personal Information Act (POPIA), which already governs AI systems that process personal data, including provisions for challenging automated decision-making. **ICASA** regulates AI in telecommunications. The **Financial Sector Conduct Authority** and **National Credit Regulator** oversee AI in financial services. Sector-specific regulators in health, education, and other domains will embed AI accountability within existing frameworks.

This approach mirrors the UK's path and avoids the administrative cost of establishing a new regulatory body — but carries risks of regulatory gaps between sectors and inconsistent standards across regulators.

Assessment

South Africa has the institutional capacity, academic infrastructure, and private-sector ecosystem to lead regional AI governance. But the policy timeline is slow: six years have elapsed since the PC4IR was commissioned, and binding regulation remains at least a year away. The multi-regulator model, while pragmatic, risks creating coordination failures domestically, let alone regionally. For SACU-level coordination, South Africa's framework will inevitably serve as the reference point — but the other four members need something simpler and more adaptable.

4.2 Botswana: Knowledge Economy Ambitions

AI Readiness: 2nd in SACU in the Oxford Insights Government AI Readiness Index.

Botswana's AI strategy is embedded within a broader ambition: transitioning from a diamond-dependent, upper-middle-income economy to a knowledge-based economy by 2036, as outlined in Vision 2036. With the highest internet penetration in SACU at 81.4% and GDP per capita of approximately $7,680, Botswana has structural advantages. But the economy is under severe strain from the downturn in global diamond markets. The IMF's September 2025 Article IV consultation projects a GDP contraction of 1.0% in 2025, following a 3.0% contraction in 2024, driven by a 24% decline in mining output and a 34% slump in diamond trading. The fiscal deficit is expected to exceed 8% of GDP.

Key Policy Milestones

SmartBots Fourth Industrial Revolution Digital Transformation Strategy: Launched in February 2020, SmartBots is Botswana's flagship digital transformation initiative, positioning AI as a cross-sector enabler across five areas: inclusive connectivity, education for a knowledge workforce, digitizing public services, co-creating data-driven solutions, and fostering a startup innovation ecosystem.

Implementation has been tangible. As of 2025, SmartBots has connected over 1,138 public facilities across 144 villages, reaching approximately 1.6 million citizens — around 70% of the

population — with free Wi-Fi access at approximately 609 schools. In November 2023, Botswana launched the **SmartBots Lab**, a Centre of Excellence housed within the Botswana Digital Innovation Hub, designed to incubate digital entrepreneurs and support frontier technologies including AI.

Data Protection Act 18 of 2024: Published in October 2024 and effective from 14 January 2025, this legislation replaced the weaker Data Protection Act 32 of 2018. Key features include alignment with GDPR standards and extraterritorial application; expanded powers for the Information and Data Protection Commission; penalties of up to BWP 50 million (approximately $3.7 million) or 4% of global annual turnover; mandatory 72-hour data breach notification; and stricter obligations on data processors, with specific relevance to AI systems handling personal data.

EU-Funded Digital Transformation Support: A three-year project (2024–2027) with a budget of EUR 4.85 million, managed by Expertise France, supports SmartBots implementation and the strengthening of legal and governance frameworks.

AI Deployments

Botswana has moved beyond policy into practice. The Bank of Botswana deployed the **Proto AICX** chatbot for multilingual customer assistance, enabling service delivery in Setswana — a significant step toward inclusive AI that reflects local linguistic needs.

Assessment

Botswana punches above its weight in digital infrastructure relative to its population and has the second-strongest regulatory foundation in SACU thanks to its modernized data protection regime. But it lacks a dedicated AI policy or strategy document; AI governance remains subsumed within the broader SmartBots framework. The diamond sector's structural decline adds urgency to the knowledge-economy pivot while simultaneously constraining the fiscal space to fund it. The upshot is that Botswana would benefit significantly from SACU-level AI coordination — leveraging South Africa's regulatory expertise without bearing the full cost of developing its own comprehensive framework.

4.3 Namibia: Legislative Ambition

AI Readiness: 3rd in SACU in the Oxford Insights Government AI Readiness Index.

Namibia is pursuing what may be the most ambitious legislative agenda of any SACU member outside South Africa, with a comprehensive package of digital governance bills moving through parliament simultaneously. GDP growth has been robust at around 3%, driven by retail, financial services, and government activity, though diamond production and agriculture have declined.

Key Policy Milestones

Draft AI Bill: In June 2025, the Namibian government announced progress on a landmark Draft AI Bill intended to guide ethical and accountable AI deployment. Unlike South Africa's policy-first approach, Namibia is moving directly toward legislation — a notable strategic choice for a country of 3 million people.

Comprehensive Legislative Package: The AI Bill is being developed alongside a **Data Protection Bill** to establish foundational data governance, a **Cybercrime Bill** to address digital security threats, updates to the **Communications Act** to modernize telecommunications regulation, and a **National AI Strategy** to provide the overarching policy direction.

UNESCO AI Readiness Assessment: Namibia worked with UNESCO through its Readiness Assessment Methodology (RAM) to produce a comprehensive evaluation of institutional capacity for AI. The assessment, compiled by the National Commission on Research, Science and Technology (NCRST), was first presented at the 3rd UNESCO Global Forum on the Ethics of AI in Bangkok in June 2025, with a domestic launch on 14 August 2025 in Windhoek.

The RAM identified several critical challenges: the absence of a formal AI regulatory framework (which the Draft AI Bill aims to address), limited electricity access in rural areas, gaps in AI-related skills, and a shortage of AI training data in indigenous languages. Priority sectors for AI intervention include food security, water, energy, health, education, climate change, mining, security, and logistics.

Regional Convening Role: In September 2022, Namibia hosted the first UNESCO-Southern Africa sub-Regional Forum on Artificial Intelligence (SARFAI), bringing together ministers from Botswana, Malawi, Mozambique, South Africa, Zambia, and Zimbabwe. The resulting **Windhoek Statement** recommended actions on AI governance, capacity-building, infrastructure, R&D, environmental protection, gender inclusion, and regional collaboration. This positions Namibia as a potential bridge-builder for regional AI coordination — though follow-up on the Windhoek Statement has been limited in the nearly four years since its adoption.

e-Parliament Strategy: Namibia is implementing a strategy to digitize legislative processes and exploring AI tools — including data analytics and virtual research assistants — for citizen engagement.

Assessment

Namibia's parallel legislative approach is ambitious but carries execution risk. Developing AI, data protection, and cybercrime legislation simultaneously in a country with limited regulatory capacity could produce poorly coordinated laws or prolonged parliamentary delays. The UNESCO partnership provides valuable technical support, and the Windhoek Statement demonstrates willingness to lead on regional coordination. Still, the 64.4% internet penetration rate and rural infrastructure gaps mean that even well-designed legislation will face implementation challenges. Namibia's trajectory underscores the value of a SACU-level model framework that smaller members can adapt, rather than each developing bespoke legislation from scratch.

4.4 Eswatini: Digital Finance as a Gateway

AI Readiness: 4th in SACU in the Oxford Insights Government AI Readiness Index.

Eswatini — population 1.2 million, GDP approximately $5 billion — is the smallest SACU economy after Lesotho and faces some of the bloc's most significant structural constraints: limited fiscal space, a narrow skills base, and an internet penetration rate of 57.6%. Yet it has identified digital finance as a pragmatic entry point for AI adoption and leveraged international partnerships to assess its readiness.

Key Policy Milestones

UNDP Digital Readiness Assessment (DRA): Conducted in collaboration with UNDP and launched on 21 August 2024, the DRA provided the most systematic evaluation of Eswatini's digital maturity to date, analyzing performance across six pillars: connectivity, people, digital public infrastructure, government, regulation, and economy.

The findings were sobering. An overall score of **2.6 out of 5** placed Eswatini in the "systematic" stage of digital maturity, with critical gaps in regulation and infrastructure lagging behind the economy and government pillars. While 64% of stakeholders acknowledged the existence of a national digital strategy, half perceived implementation as delayed — citing weak design, insufficient political backing, lack of financial support, and limited institutional coordination.

National Fintech Strategy (2025–2030): Launched on 4 December 2025, this represents Eswatini's most concrete AI-adjacent policy initiative. It establishes a dedicated **FinTech Coordination Office** under the Central Bank of Eswatini (CBE), a **multi-sector regulatory sandbox** for live testing of innovative financial products, and pillars covering agile regulation, human capital development, and regional integration — all aligned with broader financial inclusion goals in a country where mobile money has already achieved significant penetration.

Eswatini Digitalization Strategy 2024–2028: The broader agenda includes the "Government in Your Hand" program, aiming to transition government services to integrated nationwide digital platforms. This provides the overarching framework within which fintech and AI initiatives are nested.

Assessment

Eswatini's strategy of using fintech as a beachhead for broader digital transformation is pragmatically sound. The regulatory sandbox model, if well-implemented, could generate learning that informs AI governance more broadly. But the DRA score of 2.6/5 highlights the scale of the challenge. Eswatini has no dedicated AI policy or legislation, and the data protection landscape remains underdeveloped. Of all SACU members, Eswatini may have the most to gain from regional coordination — adopting harmonized frameworks rather than building regulatory capacity from scratch.

4.5 Lesotho: The Steepest Climb

AI Readiness: Bottom quartile globally on the Oxford Insights Government AI Readiness Index — 5th in SACU.

Lesotho faces the most formidable challenges in AI governance of any SACU member. A landlocked, mountainous kingdom of 2.4 million people entirely surrounded by South Africa, it has the lowest GDP in the bloc ($2.4 billion), the lowest internet penetration (48.0%), and the lowest AI readiness score. Yet Lesotho has shown notable policy ambition in recent years.

Key Policy Milestones

Artificial Intelligence Policy: In March 2025, Lesotho highlighted its newly developed and validated AI Policy, aligned with the AU Continental AI Strategy. The policy aims to integrate AI across diverse sectors — with particular emphasis on agriculture (predictive analytics for climate resilience, livestock management, market access) and healthcare (diagnostics, telemed-

icine, remote monitoring). In 2024, Lesotho developed three interrelated policies: the AI Policy, a Data Management Policy, and a Broadband and Shared Infrastructure Policy, creating a coherent digital governance framework on paper.

National Digital Transformation Strategy: Agenda 2030: This framework focuses on five pillars: Enabling Environment, Digital Government, Digital Infrastructure, Digital Population, and Digital Business.

National Digital Policy 2024 (Vision 2035): This document envisions Lesotho as a "digitally empowered society" by 2035 and provides the long-term strategic direction for digital transformation.

Regulatory Challenges

Despite ambitious policy documents, Lesotho faces severe implementation constraints. The Data Protection Act of 2011 (enacted as Act No. 5 of 2012) is widely considered inadequate for the AI era — and critically, the Data Protection Commission mandated by the Act has never been appointed, leaving the law effectively unenforceable. The Computer Crime and Security Bill (initially introduced as the Computer Crime and Cyber Security Bill, 2022) and the Electronic Transactions and Electronic Commerce Bill have faced prolonged delays in parliament; the legislative process in Lesotho has been described as "lengthy and unpredictable." With 48% internet penetration — concentrated in urban areas — the physical prerequisites for AI deployment are limited. And Lesotho has a very small pool of AI and data science professionals, with limited institutional capacity for regulatory oversight.

Assessment

Lesotho's policy ambition is commendable but risks becoming aspirational without the institutional and infrastructure investment to give it substance. The gap between published vision documents and legislative reality is wide: well-intentioned AI, data management, and broadband policies exist on paper, while the foundational Data Protection Act remains unenforced and key bills stall in parliament. Lesotho is arguably the SACU member with the most to lose from the absence of regional coordination. A SACU-level framework could provide the regulatory template, technical assistance, and peer accountability that Lesotho needs to translate its AI vision into practice.

5. Enabling Conditions and Benchmarks

Effective AI governance in developing countries is not a scaled-down version of the EU AI Act. It requires frameworks that are realistic about institutional capacity, infrastructure constraints, and the need to attract — not repel — investment and innovation. The technology is ready; the enabling conditions are not. Closing that gap requires less excitement about the tools themselves and more focus on the boring but essential work of connectivity, data standards, and institutional capacity.

5.1 The World Bank 4Cs Framework

The World Bank's *Digital Progress and Trends Report 2025: Strengthening AI Foundations* (November 2025) introduces a framework for assessing AI readiness in developing countries built around four pillars — the "4Cs."

Connectivity — the physical and digital infrastructure required to deploy and access AI services. For SACU, internet penetration ranges from 48% (Lesotho) to 81% (Botswana), with cost and quality gaps that headline figures obscure. **Compute** — access to the processing power needed for AI training and deployment. No SACU member, including South Africa, has significant domestic compute capacity; the region depends on cloud services hosted abroad or in South Africa. **Context** — locally relevant data for training AI systems. Systems trained on Western or Asian datasets may not reflect African economic structures, languages, or social patterns. South Africa's emphasis on digitizing its 11 official languages responds to this need; the smaller SACU members lack equivalent data initiatives. **Competency** — the digital skills pipeline, from basic digital literacy through to specialized AI expertise. The IFC projects that 230 million jobs in Sub-Saharan Africa will require digital skills by 2030 — far exceeding current training capacity across SACU.

The World Bank's core insight is that "successful AI adoption in developing countries depends less on technology itself than on the surrounding ecosystem — skills, data, finance, regulation and trust." This framing is directly relevant to SACU, where the governance conversation must be grounded in infrastructure and capacity realities, not regulatory ambition alone.

The World Bank is also preparing the **World Development Report 2026: Artificial Intelligence for Development**, which will be its flagship statement on AI and development. SACU policymakers should position their governance work to engage with the analytical framework that publication will establish.

5.2 Energy: The Load-Shedding Legacy and Its Aftermath

AI governance frameworks are only as effective as the infrastructure that supports AI deployment. Energy reliability is not a secondary concern — data centres, training facilities, and the edge infrastructure needed for AI-powered services all require consistent power.

South Africa's load-shedding crisis — rolling blackouts that became a defining feature of economic life — has improved significantly but remains a concern. In 2024, South Africa experienced **69 days of load shedding**, a significant improvement over the crisis peak but still representing substantial disruption. Private solar PV capacity surged from 1.2 GW in 2021 to 6.1 GW in 2024 (OECD Economic Survey 2025), reflecting rapid private-sector adaptation. Load shedding returned briefly in January 2025 at lower severity, suggesting the worst may be past — though the grid remains fragile.

The energy constraints have directly shaped South Africa's AI ecosystem, pushing investment toward firms that can afford backup generation and solar installations — and excluding those that cannot. Eswatini and Lesotho are particularly vulnerable: both depend heavily on South Africa's Eskom for electricity imports. Any disruption to Eskom supply cascades immediately into these smaller economies, compounding their already limited infrastructure for digital services.

5.3 Connectivity: Cost as the Binding Constraint

While internet penetration rates across SACU range from 48% to 81%, cost is the practical barrier to AI adoption. Across Africa, the **median cost of a 2GB mobile broadband plan is 4.2% of GNI per capita** — double the UN affordability target of 2%. **Fixed broadband costs a median 15% of GNI per capita** (ITU 2024). African mobile internet costs are approximately **14 times higher than in Europe** (Ecofin Agency).

In Lesotho and Eswatini, where GNI per capita is low and infrastructure sparse, these costs are prohibitive for large segments of the population. Mobile-only internet access — the norm in the smaller SACU economies — fundamentally limits which AI applications are feasible. Cloud-based AI services, large data transfers, and real-time AI applications perform poorly or not at all over constrained mobile connections.

5.4 Risk-Based, Proportionate Regulation

A one-size-fits-all approach is inappropriate for economies at different levels of AI maturity. Best practice points toward tiered risk classification, distinguishing between low-risk applications (AI-assisted customer service) and high-risk deployments (predictive policing, automated credit decisions) — South Africa's draft policy adopts this approach. Regulatory sandboxes allow controlled testing before full compliance is required; Eswatini's planned fintech sandbox reflects this model. Globally, over 160 sandboxes have been launched in 80+ countries since the UK's Financial Conduct Authority pioneered the approach in 2016. Malaysia's eKYC sandbox — which graduated MoneyMatch after testing AI-powered facial recognition for onboarding — offers a directly relevant precedent for SACU economies.

The catch is matching instruments to institutional capacity. Countries with limited regulatory bandwidth should begin with soft-law frameworks — guidelines, codes of conduct — and build toward binding rules as capacity develops. Ethical safeguards and human rights protections must follow UNESCO recommendations and the AU Continental AI Strategy: mandatory ethical impact assessments for high-risk deployments; transparency requirements so individuals know when they are interacting with AI and can challenge automated decisions; inclusivity provisions ensuring AI systems work for diverse populations, including speakers of indigenous languages; and accountability frameworks that clarify liability when AI systems cause harm.

5.5 Modern Data Governance

AI systems depend on data, making data governance a prerequisite for AI governance. Effective frameworks require comprehensive data protection legislation aligned with international standards — Botswana's 2024 Data Protection Act, with its GDPR-aligned provisions and meaningful penalties (up to 4% of global turnover), sets the regional standard, while Lesotho's unenforced 2011 Act illustrates the cost of inaction. Clear rules on cross-border data flows must balance data sovereignty with the need for data to move across borders in a customs union; the AfCFTA Digital Trade Protocol provides the continental framework. And local-first data strategies should ensure data generated within a country contributes to its own development, rather than being extracted by multinational firms with limited accountability.

5.6 Multi-Stakeholder Governance

Effective AI governance requires input beyond government: academic partnerships for research and capacity-building (Botswana's SmartBots Lab model); private-sector engagement through industry codes of conduct and regulatory sandboxes; civil society participation to ensure public interest representation, particularly for marginalized communities; and international technical assistance, such as Namibia's UNESCO RAM partnership and Eswatini's UNDP DRA.

5.7 Implications for Framework Design

Infrastructure and capacity constraints have direct implications for how a SACU AI governance framework should be designed. Regulations built for economies with reliable electricity and high-speed broadband will not work in Lesotho — the framework must include infrastructure-contingent implementation timelines. AI governance cannot be separated from energy policy; the power requirements of data centres and AI training systems must be factored into regional energy planning. Shared infrastructure investment — regional data centre capacity, potentially hosted in South Africa but serving the wider SACU — could provide smaller members with AI infrastructure they could not sustain individually, provided data sovereignty arrangements are in place. And connectivity cost reduction — through regulatory reform, infrastructure sharing, and targeted subsidies — is a precondition for inclusive AI deployment, not an optional add-on.

6. Socioeconomic Implications: Labour Markets, Gender, and Inclusion

For a region where unemployment is the defining socioeconomic challenge, the labour market and distributional implications of AI demand dedicated analysis. AI presents both opportunity and risk for SACU economies — but the balance differs sharply across the bloc and across demographic groups.

6.1 Unemployment Across SACU

Unemployment rates across SACU members are among the highest in the world:

Country	Unemployment Rate (2024)	Notes
South Africa	33.2% (official); 42.1% (expanded)	Expanded measure includes discouraged workers; youth (15–24) unemployment 57%
Botswana	23.1%	
Eswatini	22% (ILO); 33% (national surveys)	National surveys give higher estimates
Namibia	19.1% (ILO); 36.9% (national LFS, 2023)	Wide gap between ILO modelled and national labour force survey
Lesotho	16.1%	

Table 2: Unemployment Rates Across SACU (2024)

Sources: Stats SA, Trading Economics, ILO, national statistical offices.

These figures represent a baseline of labour market distress into which AI-driven automation will be introduced.

6.2 Automation Exposure

Research by the Centre for Economic Policy Research (CEPR) and the World Bank suggests that up to **60% of jobs in Sub-Saharan Africa** are at risk of automation — rising to over 50% for workers with primary education or less. This is a structural vulnerability for SACU economies where large portions of the workforce are in low-skilled occupations.

Evidence from South Africa specifically reveals a significant negative correlation between AI adoption and low-skilled employment: as firms adopt AI, augmentation-exposed jobs tend to grow (by approximately 20%) while automation-exposed jobs decline (by approximately 2%). The net effect depends heavily on whether policy frameworks support reskilling and transition.

6.3 The Scale of the Challenge

The numbers are sobering. Sub-Saharan Africa needs approximately **20 million new jobs annually by 2035** just to absorb labour market entrants (AfriCatalyst / ILO estimates). An estimated **230 million jobs will require digital skills by 2030** (IFC projection) — far exceeding current training capacity. The informal economy, which accounts for the majority of employment in all SACU members except South Africa, is poorly captured by automation-risk models but is not immune to disruption. AI-enabled logistics platforms displacing informal traders and automated customer service reducing call-centre employment are already visible trends.

6.4 The Gender Digital Divide

The AU Continental AI Strategy explicitly emphasizes gender. A SACU governance framework that claims alignment with the AU framework must address the gender digital divide with substantive analysis and targeted measures, not rhetorical gestures.

Across Africa, the divide is stark. Only 32% of women use the internet, compared with 42% of men — a 10 percentage point gap (ITU/ORF data). Mobile internet access stands at 34% for women versus 46% for men (GSMA). In rural areas, 84.3% of women lack any digital device (ImpactHER 2024 survey across 52 African countries). Sixty percent of African women have never received any form of digital training (ImpactHER). Overall, only 49.8% of African women have internet access at all.

What this means in practice is that AI systems — which depend on digital interaction for both deployment and feedback — are systematically less accessible to, and less representative of, women. AI training data bias, sector-specific employment effects (garment manufacturing in Lesotho, domestic work in South Africa, retail across the region), unequal access to AI-enabled services, and underrepresentation of women in technology workforces all compound the problem.

6.5 The Private Sector: What Firms Are Doing and What They Need

The governance recommendations in this report ultimately depend on whether the private sector — the primary deployer of AI in SACU — finds them useful. Several major South African firms are already deploying AI at scale, and their cross-border operations within SACU mean their practices effectively set de facto regional standards.

In financial services, Standard Bank, Discovery, and Capitec deploy AI for credit scoring, fraud detection, claims processing, and customer service automation. These deployments extend into Botswana, Namibia, Eswatini, and Lesotho through subsidiary operations — meaning that AI governance decisions made in Johannesburg already shape outcomes across the customs union. In telecommunications, Vodacom and MTN use AI for network optimization, customer analytics, and mobile money services across SACU markets; as the primary connectivity providers in the smaller economies, their AI deployment decisions have outsized impact. In technology and e-commerce, Naspers/Prosus is one of the largest technology investors globally and the most significant Africa-headquartered AI investor. Shoprite, the continent's largest retailer, deploys AI across supply chain management, demand forecasting, and customer analytics in operations spanning all five SACU members.

What these firms need from a SACU governance framework is straightforward: **regulatory certainty** — knowing what rules apply and that they will not change arbitrarily; **consistency across jurisdictions** — not having to comply with five different regimes for the same service; **proportionality** — rules that match the risk level of the application, not blanket requirements that make low-risk deployments uneconomical; and **sandboxes and safe harbours** — space to test innovative applications without full compliance burdens. The current fragmented landscape delivers none of these. A SACU-level framework providing even minimal harmonization would reduce compliance costs and support the cross-border digital services these firms are already providing.

6.6 Implications for SACU AI Governance

These labour market, gender, and private-sector realities have direct policy implications.

Skills investment must accompany regulation. AI governance frameworks that do not include substantial upskilling provisions risk enabling job displacement without creating alternative pathways. Social protection systems need upgrading — existing safety nets in SACU members are not designed for technology-driven structural unemployment, and AI policy should be coordinated with social protection policy. Sector-specific analysis is essential, because the impact of AI on employment will differ across agriculture (Lesotho), mining (Botswana), financial services (South Africa), and garment manufacturing (Lesotho's textile sector, which employs a large share of women). Youth employment deserves particular attention: with youth unemployment at 57% in South Africa, AI policy must actively consider whether new AI-enabled industries can absorb young workers and what training they need.

A gender-responsive framework is non-negotiable. This means gender-disaggregated data requirements in AI impact assessments; targeted digital literacy programs for women and girls, particularly in rural areas; affordability measures to reduce the cost of devices and connectivity for women; representation targets for women in AI governance bodies; and sector-specific analysis of how AI adoption will affect female-dominated industries.

Private-sector engagement must be structured, not ad hoc. The firms already deploying AI across SACU should be at the table when governance principles are drafted — not as lobbyists, but as sources of practical knowledge about what works, what does not, and what trade-offs regulation creates.

The 2022 Windhoek Statement identified gender inclusion as a priority for regional AI coordination. Four years later, this commitment needs concrete implementation through a SACU-level framework.

7. The Case for Regional Coordination

7.1 Why SACU-Level Coordination Matters

The case for coordinating AI governance at the SACU level rests on four pillars: the economic logic of a customs union, the lessons of other regional blocs, alignment with existing continental frameworks, and the practical constraints facing small states.

But there is also a fiscal dimension specific to SACU that sharpens the argument. The customs union's revenue-sharing formula allocates customs and excise revenue to all five members based on intra-SACU trade in physical goods. Botswana, Namibia, and Lesotho derive roughly 25–40% of government revenue from the SACU Common Revenue Pool; Eswatini's share is similarly significant. As digital services — including AI-powered services — increasingly substitute for physical goods in cross-border commerce, the customs revenue base that underpins this formula erodes. This structural shift disproportionately affects the smaller members, for whom SACU revenue transfers represent a far larger share of fiscal income than they do for South Africa.

The implication is that the digital transition is not merely a technology policy question for SACU's smaller economies — it is a fiscal sustainability question. This creates a structural incentive for all members, but especially the smaller ones, to engage actively with digital economy governance at the regional level, ensuring that the revenue-sharing framework evolves alongside the economy it is meant to serve.

7.2 The ASEAN Model: Soft Law and Consensus

ASEAN's approach offers the most immediately relevant precedent for SACU. Like SACU, ASEAN comprises members at vastly different income levels and institutional capacities — from Singapore (GDP per capita $85,000) to Myanmar ($1,200). Rather than attempting binding regulation, ASEAN has pursued the **ASEAN Guide on AI Governance and Ethics** (endorsed February 2024), a non-binding set of principles covering transparency, fairness, security, accountability, and human-centricity; an **Expanded Guide on Generative AI** (January 2025) addressing emerging risks from large language models; the **ASEAN Working Group on AI Governance (WG-AI)**, established March 2024 and chaired by Singapore's IMDA, providing institutional continuity; and the **ASEAN Responsible AI Roadmap**, finalized in February 2025.

ASEAN's soft-law, consensus-driven approach is more immediately feasible for SACU than the EU's binding regulatory model. It allows members to move at different speeds while maintaining common principles and a platform for knowledge exchange. The income and capacity asymmetry

within ASEAN — with Singapore playing an anchor role analogous to South Africa's in SACU — makes the comparison particularly apt.

The ASEAN trajectory is now evolving from soft law toward binding national rules: Vietnam became the first ASEAN member to promulgate a dedicated AI Law in December 2025 (effective March 2026), and Indonesia is expected to finalize AI regulations in early 2026. An ASEAN Foundation assessment found a "consistent gap between high levels of AI usage and actual readiness" across the bloc — a finding directly relevant to SACU, where AI tools are being deployed well ahead of governance capacity. This progression from shared principles to national legislation, enabled by regional coordination, is precisely the path this report recommends for SACU.

7.3 The East African Community: A Regional Comparator

Within Africa, the East African Community (EAC) provides a closer comparator. Kenya's **National AI Strategy 2025–2030**, launched in March 2025, is the most comprehensive national AI governance document on the continent, covering infrastructure, data, governance, talent, and ethics. Rwanda's **2023 AI Policy** positioned it as an early mover, leveraging its reputation as a technology-friendly governance environment. The EAC is advancing a **Regional Artificial Intelligence Strategy**, with a major conference hosted in Kigali on 4–6 March 2026.

Kenya and South Africa rank closely on the 2025 Oxford Insights index (65th and 67th respectively), suggesting comparable readiness levels. The East/Southern African cluster — Kenya, South Africa, Rwanda at 75th — is noteworthy as a potential zone of cross-regional coordination. SACU could benefit from structured engagement with EAC experience, particularly Kenya's approach to regulatory sandboxes and Rwanda's positioning as an "AI lab" for Africa. The Carnegie Endowment's September 2025 analysis found that Africa has published 15 national and 2 continental AI strategies, but the critical gap is in implementation and private-sector engagement — underscoring the importance of SACU moving beyond strategy documents to operational frameworks.

7.4 The EU Precedent: Harmonization as a Longer-Term Aspiration

The European Union's AI Act, which entered into force in August 2024, represents the most comprehensive binding AI regulation globally. Three lessons stand out for SACU. Harmonization prevents fragmentation: without common rules, companies face different compliance requirements in each jurisdiction, raising costs and reducing market access. Common standards attract investment: SACU's combined market of approximately 74 million people is more attractive to investors than five separate markets with different rules. And smaller states benefit most: within the EU, Estonia, Malta, and Luxembourg gain access to a regulatory framework they could not have developed alone — the analogy to Lesotho and Eswatini is direct.

But the EU model is not directly transferable. The EU has supranational institutions, a single market acquis, and decades of regulatory harmonization infrastructure that SACU does not possess. The EU precedent is better understood as a longer-term aspiration — demonstrating the benefits of harmonization — while ASEAN's approach offers a more realistic near-term model.

7.5 The Regulation-Innovation Trade-Off

The strongest counterargument to regional coordination is that premature or heavy-handed regulation can stifle innovation, particularly in developing countries where the AI ecosystem is nascent. The evidence on this trade-off is recent and instructive.

The EU has already acknowledged that the AI Act may be deterring investment. The European Commission's **Digital Omnibus package** (November 2025) aims to simplify AI Act compliance, with active discussion about delaying high-risk system obligations by one year amid evidence that regulatory burdens are causing firms to adopt a "reticent approach to deploying AI more widely throughout the European Union." By early 2026, over 72 countries have launched more than 1,000 AI policy initiatives globally, with scope varying "dramatically from binding legislation with heavy penalties to voluntary guidelines with no enforcement mechanism" (IAPP). This diversity of approaches is itself evidence that there is no consensus on the optimal regulatory stance.

For SACU, where AI ecosystems are far less developed than in the EU, the risk of over-regulation is arguably higher. The ASEAN-style approach recommended here — beginning with non-binding principles and building toward binding rules as capacity and experience develop — is specifically designed to navigate this trade-off. The goal is to establish a common floor of governance without creating a ceiling on innovation. Start with soft law, sandboxes, and shared principles to preserve regulatory flexibility while providing the minimum certainty that investors and firms need. The progression to binding rules should be driven by evidence of specific harms and demonstrated institutional capacity to enforce — not by regulatory ambition outpacing the ecosystem it governs.

7.6 The Continental Framework: AU and SADC Alignment

SACU-level coordination would nest within and reinforce existing frameworks. The **AU Continental AI Strategy** (July 2024), endorsed at the 45th Ordinary Session of the AU Executive Council in Accra, has its Implementation Phase 1 (2025–2026) focused on establishing governance structures and national AI strategies. Twenty months in, early indicators show significant momentum: over $100 million in partnerships mobilized, more than 250,000 people trained, and multiple countries launching aligned national strategies. The **Africa Declaration on Artificial Intelligence** has been endorsed by 49 countries. A proposed $60 billion Africa AI Fund and Africa AI Council are under discussion. A SACU coordination mechanism could serve as a model for AU implementation at the sub-regional level, demonstrating how continental commitments can be operationalized within a specific bloc.

The **SADC Digital Transformation Strategy** (2023), approved by the SADC Council of Ministers, aims to transform the region into an inclusive digital economy. SADC is developing a **Regional AI Model Policy and Regulatory Framework** — a SACU coordination effort could provide input and early implementation experience for this broader initiative. And the **AfCFTA Digital Trade Protocol** (February 2024), with eight annexes adopted in February 2025 covering digital identities, cross-border data transfers, digital payments, and emerging technologies, creates legal architecture that harmonized SACU AI governance would complement and operationalize.

7.7 Resource Optimization for Small States

The practical case for coordination is strongest for the smaller SACU members. Developing, implementing, and enforcing AI regulation requires expertise that is scarce in economies of 1–3 million people; a shared SACU regulatory resource — even if advisory rather than binding — could provide technical guidance that none of the smaller members could afford individually. If Botswana's Data Protection Commission certifies an AI system as compliant, mutual recognition across SACU would reduce duplication and costs. For small economies with limited data, regional data-sharing arrangements (with appropriate privacy protections) can enable AI applications that would be impossible at the national level — particularly for indigenous-language AI systems. And when negotiating with global technology companies on data localization, content moderation, algorithmic transparency, or tax, five governments speaking with one voice carry more weight than five separate negotiations.

8. Geopolitical Dimensions: The China-US Technology Competition

Any serious AI governance framework for Southern Africa must contend with the geopolitical reality that the region's digital infrastructure is deeply shaped by the US-China technology competition. This is not an abstract strategic consideration — it has direct, material consequences for the choices SACU members face.

8.1 China's Digital Infrastructure Footprint

China's role in Africa's digital infrastructure is substantial. **Huawei has built approximately 70% of Africa's 4G networks** (Atlantic Council / 3GIMBALS), making it the dominant telecommunications infrastructure provider across the continent. **South Africa sources over 70% of its ICT infrastructure from China**, with Chinese firms earning approximately $10 billion from South Africa's technology hubs (Polity.org.za). At the **2024 FOCAC Summit in Beijing**, China pledged $50.7 billion in investment across Africa for 2025–2027, including 20 digital infrastructure projects. Chinese telecommunications firms **undercut Western competitors' prices by approximately 30%**, leveraging state bank financing to offer terms Western vendors cannot match (3GIMBALS). In Namibia, a **$89 million Chinese-funded solar plant** — Africa's largest — illustrates China's role extending beyond telecoms into the energy infrastructure that AI deployment requires.

8.2 Strategic Implications for SACU

This infrastructure dependence has several implications for AI governance. **Vendor lock-in:** heavy reliance on a single country's technology ecosystem creates dependencies that constrain future regulatory choices — standards set by Chinese equipment become de facto national standards. **Data sovereignty concerns:** questions about data routing, storage, and access in networks built and maintained by Chinese firms are directly relevant to AI governance, particularly for systems processing sensitive government or financial data. **Regulatory model choices:** SACU members must navigate between EU-style rights-based regulation, US-style market-driven approaches, and China's state-directed model — the choice of regulatory frame-

work has geopolitical implications, and geopolitical pressures may influence regulatory choices. But there is also **opportunity for leverage:** SACU members can use the competitive dynamic between US and Chinese technology providers to negotiate better terms on technology transfer, local content requirements, data governance standards, and pricing than any individual member could achieve alone.

8.3 A Third Way

Rather than choosing sides, SACU has an opportunity to develop a governance framework that sets clear data sovereignty and transparency standards applying to all foreign technology providers equally; leverages competitive dynamics to maximize technology transfer and capacity building; aligns with the AU Continental AI Strategy's emphasis on African agency in AI governance; and uses collective SACU bargaining power to negotiate from a position of strength.

This approach — sometimes described as "strategic non-alignment" in the digital domain — is already implicit in the positions taken by the AU and SADC. South Africa's BRICS membership provides additional context. The **BRICS Leaders' Statement on the Global Governance of Artificial Intelligence**, adopted at the 17th BRICS Summit in Rio de Janeiro in July 2025, explicitly endorses digital sovereignty, UN-centered AI governance rather than club-based models, fair data governance enabling developing countries to benefit from their own data, and action to address market concentration in AI technologies. These principles align with the "strategic non-alignment" position and carry the weight of a major multilateral grouping. A SACU-level framework would give this approach institutional substance at the regional level.

9. The Costs of Inaction

9.1 Economic Costs: Lost Investment and Growth

Foreign direct investment deterrence. Regulatory uncertainty is a known barrier to technology investment. The World Bank has documented that clear, predictable regulatory environments are among the strongest determinants of FDI in digital services. Without a coherent framework, SACU risks being bypassed by investors who find greater certainty in East Africa (Kenya, Rwanda) or North Africa (Egypt, Morocco) — regions actively building AI governance frameworks.

The scale of the global opportunity underscores the urgency. UNCTAD projects the global AI market will reach $4.8 trillion by 2033. Yet 118 countries, mostly in the Global South, remain absent from major governance discussions, and under one-third of developing countries have AI strategies. For SACU, where only South Africa has a comprehensive AI policy in development, the risk of being excluded from both economic gains and governance conversations is real. If the continent captures even a fraction of the AI gains projected by credible studies — from the AfDB's $1 trillion by 2035 under full activation to McKinsey's $61–103 billion annually from generative AI alone — the opportunity cost of regulatory fragmentation, measured in even a few years of delayed adoption, would be significant. Even under the AfDB's conservative "status quo" scenario ($250 billion continent-wide), SACU's share implies tens of billions in foregone economic activity if enabling conditions are not in place.

Startup ecosystem costs. Africa has approximately 716,000 software developers, of whom an estimated 7% (roughly 50,000–60,000) are AI specialists. Regulatory fragmentation within SACU makes it harder for AI startups in Gaborone or Windhoek to scale across the region, reducing the viability of the regional startup ecosystem.

9.2 Digital and Algorithmic Colonialism

Without effective local governance, multinational technology firms can extract and exploit African data with limited accountability. The risk is not theoretical. AI systems trained exclusively on Western datasets embed biases that may not reflect African realities — from facial recognition systems that perform poorly on darker skin tones to credit-scoring models that penalize informal-economy participants. The concept of "data colonialism" — where data generated in developing countries flows to and primarily benefits companies headquartered in developed countries — is particularly acute in the absence of data sovereignty provisions. Just 100 companies, predominantly US- and China-based, account for 40% of global private R&D investment, illustrating the concentration of power in the AI ecosystem. A fragmented SACU landscape, where some members have data protection and others do not, creates pathways for data extraction through the weakest link.

9.3 Brain Drain

Africa accounts for approximately 3–5% of the global AI talent pool, despite representing nearly 19% of the world's population. An estimated 38% of African developers already work for at least one foreign company. The continent loses an estimated $2 billion annually due to professional emigration. Without supportive local ecosystems, clear career pathways, and meaningful work on locally relevant AI applications, skilled professionals will continue to migrate — depleting the innovative capacity SACU needs for its own AI transition.

9.4 Regulatory Arbitrage and Exploitation

A fragmented regulatory landscape within SACU creates classic regulatory arbitrage opportunities. Companies can deploy high-risk AI applications — surveillance technologies, experimental health diagnostics, untested financial products — in jurisdictions with the weakest protections. Within SACU, the current gap between South Africa (with POPIA and an emerging AI framework) and Lesotho (with an unenforced 2011 Data Protection Act and no AI regulation) creates exactly this dynamic. The phenomenon mirrors concerns in other domains: regulatory arbitrage was a key motivation for the EU's decision to harmonize AI rules, and for ASEAN's decision to establish common AI governance principles.

9.5 Widening the Digital Divide

Unregulated AI risks deepening existing inequalities both within and between SACU members. **Between countries:** South Africa, with its universities, tech sector, and regulatory capacity, will capture a disproportionate share of AI benefits, while smaller members — unable to regulate, attract investment, or retain talent — fall further behind. **Within countries:** urban, educated, connected populations benefit from AI-powered services, while rural, low-income communities lacking connectivity, digital literacy, or representation in training data are excluded or harmed. **Across demographics:** without explicit inclusivity provisions, AI systems may

reinforce gender, linguistic, and socioeconomic biases. As documented in Section 6, women face compounding barriers — lower internet access, fewer devices, less digital training — that AI systems risk perpetuating.

9.6 Legal Ambiguity and Liability Gaps

In the absence of dedicated AI legislation, fundamental questions remain unresolved. Who is liable when an AI system denies a loan application based on biased criteria? What recourse does a citizen have when an AI-driven government service makes an error? How should courts treat evidence generated or analyzed by AI? Can AI systems be granted legal standing, and if so, what are the implications for accountability? South Africa's existing frameworks (POPIA, the Consumer Protection Act, common law) provide partial answers, but were not designed for AI. In the smaller SACU members, even these partial answers are largely absent.

10. Recommendations: Toward a SACU AI Governance Framework

The following recommendations are designed to be actionable within SACU's existing institutional architecture, realistic about capacity constraints, and sequenced to allow incremental progress. Where possible, indicative cost and resource estimates are provided.

10.1 Immediate Actions (2026–2027)

Recommendation 1: Establish a SACU Digital Economy Working Group. Mandate a working group of senior officials from each member state's communications/digital technology ministry, meeting quarterly, to coordinate AI governance. This requires no treaty amendment — it can operate within SACU's existing institutional framework. The working group should have a permanent secretariat function, initially hosted within the SACU Secretariat in Windhoek. *Estimated cost: $200,000–400,000 per year for secretariat staff, meeting logistics, and travel for quarterly meetings across five countries. This is well within the range of existing SACU technical working group budgets and could be partially funded by development partners.*

Recommendation 2: Develop SACU AI Governance Principles. Following the ASEAN model, adopt a non-binding set of shared AI governance principles covering transparency, fairness, accountability, data protection, human oversight, and inclusivity. These principles would not impose binding obligations but would provide a common reference point, signal alignment to investors, and create a basis for future harmonization. Target adoption at a SACU ministerial meeting by end-2027. *Estimated cost: $100,000–200,000 for drafting (expert consultants, stakeholder workshops in each member state). ASEAN's equivalent process was supported by Singapore's IMDA and international partners; SACU could seek similar support from UNESCO, the AU, or bilateral donors.*

Recommendation 3: Conduct a SACU-wide AI Readiness Assessment. Commission a unified assessment of AI readiness across all five members, building on existing work (Namibia's UNESCO RAM, Eswatini's UNDP DRA) to create a comparable, SACU-wide baseline. This would identify common gaps, prioritize shared investments, and provide evidence for resource mobilization from development partners. *Estimated cost: $300,000–500,000, drawing on the*

UNESCO RAM methodology. Namibia's individual RAM cost approximately $80,000–100,000; a five-country study would achieve economies of scale. UNESCO and UNDP have expressed willingness to support such assessments.

10.2 Medium-Term Actions (2027–2029)

Recommendation 4: Develop a SACU Model AI Policy Framework. Drawing on South Africa's National AI Policy, the AU Continental AI Strategy, the World Bank 4Cs framework, and international best practice, develop a model policy framework that smaller members can adapt to their national contexts. This should include:

- A tiered risk classification system.
- Template provisions for ethical impact assessment.
- Minimum data protection standards (using Botswana's 2024 Act as a benchmark).
- Guidance on regulatory sandboxes.
- Provisions for mutual recognition of AI certifications and standards.

Estimated cost: $500,000–1 million for expert drafting, legal review, and stakeholder consultation across five countries over 12–18 months. Could be supported by the EU (which funded Botswana's SmartBots support at EUR 4.85 million) or other development partners with AI governance programs.

Recommendation 5: Establish a SACU Regional Regulatory Sandbox. Create a shared regulatory sandbox allowing AI innovators from any SACU member to test products and services under common conditions. This could be co-located with Botswana's SmartBots Lab or linked to Eswatini's planned fintech sandbox, providing a cost-effective testing environment that no single small member could sustain alone. *Estimated cost: $1–2 million for establishment (platform, staffing, legal framework), $500,000–800,000 annually for operations. The UK's FCA sandbox cost approximately $3 million to establish; a SACU version, building on existing facilities, would be at the lower end.*

Recommendation 6: Launch a SACU AI Skills and Capacity-Building Program. Pool resources to develop AI literacy and technical capacity across the bloc:

- A shared SACU AI curriculum for secondary and tertiary education.
- Regional fellowships for AI policy professionals, rotating through member states.
- A SACU AI policy network linking regulators across member states for peer learning.
- Partnerships with regional universities (e.g., University of Cape Town, University of Botswana, University of Namibia) for applied AI research on regional challenges.

Estimated cost: $2–5 million over three years, depending on scope. Curriculum development ($300,000–500,000); fellowship program for 20–30 participants per year ($1–2 million annually); policy network operations ($200,000–300,000 per year). Major potential funders include the AfDB, World Bank Digital Development Fund, and bilateral donors with digital skills programs.

Recommendation 7: Harmonize Data Governance Standards. Agree on minimum data protection standards across SACU, with a timetable for lagging members (particularly Lesotho) to update their legislation. Establish a framework for cross-border data flows within SACU that balances data sovereignty with the need for data mobility in a customs union. This should be designed to align with the AfCFTA Digital Trade Protocol's provisions on cross-border data transfers.

10.3 Longer-Term Ambitions (2029–2032)

Recommendation 8: Work Toward a SACU Digital Single Market. Building on harmonized AI governance, data protection, and digital trade standards, move toward a SACU Digital Single Market that enables free flow of AI-powered digital services across SACU borders, mutual recognition of digital identities and AI certifications, coordinated positions in AfCFTA digital trade negotiations, and joint representation in global AI governance fora (UN, OECD, Global Digital Compact).

Recommendation 9: Establish a SACU AI Observatory. Create a permanent institution to monitor AI deployment across the region, track regulatory developments, share best practices, and provide technical assistance to member states. This could be modeled on the OECD.AI Policy Observatory or the AU's planned continental monitoring mechanisms. *Estimated cost: $1–2 million for establishment, $800,000–1.2 million annually for operations (5–8 staff, data infrastructure, publications). Could be hosted by an existing institution (e.g., a SACU-member university or the SACU Secretariat) to reduce overhead.*

Recommendation 10: Develop Regional AI Infrastructure. Explore shared investments in regional data center capacity, potentially leveraging South Africa's existing infrastructure; high-speed connectivity between SACU capitals; and shared AI training datasets, particularly for indigenous languages spoken across borders (e.g., Setswana in Botswana and South Africa, Sesotho in Lesotho and South Africa). *Estimated cost: $10–50 million depending on scope. Data centre investment is capital-intensive but increasingly attracts private-sector co-investment. Language dataset projects are more modest ($1–3 million per language) and attract strong donor interest.*

10.4 Theory of Change: Making It Happen

The recommendations above are technically sound and financially feasible. The harder question is political: what is the theory of change that moves them from a report to reality? Three questions must be confronted honestly.

Why would South Africa participate? South Africa could regulate unilaterally and let its market power set de facto regional standards — indeed, through the cross-border operations of firms like Standard Bank, Vodacom, and Shoprite, this is already happening. But de facto standards are not the same as negotiated ones. South Africa gains three things from a SACU-level process: legitimacy (a multilateral framework is harder to challenge than unilateral extraterritorial application); influence over how smaller members regulate (better to shape the frameworks now than to manage inconsistency later); and positioning (a functioning SACU AI coordination mechanism strengthens South Africa's voice in AU, BRICS, and UN governance discussions, where it claims to speak for the region). South Africa's DCDT has signalled interest in regional alignment through its participation in SADC digital economy discussions and the SACU/UNCTAD e-commerce workshop for digital trade framework development.

Who pays? The cost estimates in this report range from $200,000 for a working group to $10–50 million for shared infrastructure. For the immediate and medium-term recommendations (Recommendations 1–7), the total cost over three years is approximately $5–10 million — a fraction of the EU's EUR 4.85 million for Botswana's SmartBots support alone. Realistic funding sources include the SACU Common Revenue Pool (which distributes customs and excise revenue to all five members); the AfDB and World Bank, both with active digital development programs; bilateral donors with AI governance portfolios (the EU, Germany's GIZ,

USAID's Digital Strategy); and UNESCO and UNDP, already engaged in SACU members' digital assessments. The immediate actions (Recommendations 1–3) are cheap enough — under $1 million combined — that they could be funded from the SACU Secretariat's existing budget with minimal reallocation.

What happens if one member defects? If Lesotho does not update its data protection law, or if Eswatini declines to participate in a regional sandbox, the framework must still function. The ASEAN model is instructive: ASEAN principles are non-binding, and members adopt them at different speeds. Singapore is far ahead of Myanmar, but the framework still creates value. For SACU, the answer is a "coalition of the willing" approach for the initial phase: South Africa and Botswana (with the strongest existing frameworks) proceed with Namibia (which is actively legislating), and the governance principles are designed so that Eswatini and Lesotho can join as their capacity develops. The key is that the framework creates incentives for participation — through shared resources, reduced compliance costs, and access to the regional sandbox — rather than penalties for non-participation.

11. Conclusion

So, compared with many of their counterparts across the continent, SACU's five members face a more delicate challenge: governing AI in ways that capture economic benefits while managing risks — but from vastly different starting positions. South Africa has the capacity to develop its own comprehensive framework; Lesotho does not. Botswana has modern data protection; Eswatini is still assessing its digital maturity. Namibia is drafting landmark legislation; all five need to ensure their approaches are compatible.

The costs of fragmented, uncoordinated AI governance are concrete and growing: lost investment, regulatory arbitrage, brain drain, and a widening digital divide within the world's oldest customs union. The benefits of coordination are equally tangible: shared regulatory costs, reduced compliance burdens, a more attractive investment environment, and stronger collective bargaining with global technology firms. The labour market stakes are particularly high — with unemployment rates between 16% and 33% across the bloc, and up to 60% of Sub-Saharan African jobs at automation risk, getting AI governance right is not merely a technology policy question. It is a social stability concern that no member can afford to defer.

The institutional mechanisms exist. SACU has a secretariat, ministerial meetings, and a long history of coordinating trade policy. The continental and regional frameworks — the AU AI Strategy (now twenty months into implementation, with over $100 million in partnerships and 250,000 people trained), the SADC DTS, the AfCFTA Digital Trade Protocol — provide strategic direction. The EAC's progress on a regional AI strategy, the BRICS AI Governance Declaration's endorsement of digital sovereignty, and ASEAN's evolution from soft law to binding national rules all demonstrate that regional AI coordination is not merely aspirational — it is happening. SACU risks falling behind comparators that are already further along.

The timeline for action is shaped by converging developments. South Africa's AI policy is expected to be finalized in 2027. The AU's Phase 1 implementation runs through 2026. The AfCFTA Digital Trade Protocol requires ratification and implementation. These processes create natural coordination points. If SACU's members do not coordinate now, they will each develop incompatible frameworks — or, in the case of the smallest members, no framework at all — that will be far harder to harmonize later.

The recommendations in this report are designed to be achievable, with costs ranging from $200,000 for a working group to $10–50 million for shared infrastructure. They begin with low-cost coordination mechanisms and build toward more ambitious integration. They recognize the asymmetry within SACU and propose structures that allow the smallest members to benefit from collective capacity. They acknowledge the regulation-innovation trade-off and recommend a soft-law-first approach designed to avoid the EU's emerging difficulties with premature binding rules. And they include a theory of change that addresses the hardest questions: why South Africa would participate, who pays, and what happens if one member is not ready.

Whether SACU seizes this opportunity will depend on the political choices its members make in the next two to three years. The converging policy timelines make those choices both possible and — given the economic and social stakes — difficult to justify postponing.

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